

China Daily Brief

Saturday, September 26, 2026

3,066 words · 12 min read

RE: Xi-Trump summit closes with \$30B tariff deal, AI dialogue · reported CMC purge of Zhang Youxia · Taiwan pushback · coal pledge

USD/CNY
6.7125
▲ +0.22%

SSE COMPOSITE
3,888.37
▼ -0.60%

HANG SENG
24,510.09
▼ -0.97%

BRENT
\$97.44
▼ -2.89%

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• TODAY AT A GLANCE

- 1 Xi Jinping concluded his three-day US state visit and returned to Beijing on Sept 26, with both governments announcing an eight-point consensus covering a \$30 billion reciprocal tariff cut, a new bilateral AI dialogue, and coal and counter-narcotics commitments.
- 2 Diplomats and analysts tell Taipei Times that CMC Vice Chairman Zhang Youxia, long Xi's closest military ally, and general Liu Zhenli were expelled from the party and PLA this week, leaving five of the Central Military Commission's seven seats vacant.
- 3 Trump said he will meet Xi again in China in November at the APEC Shenzhen summit, and USTR Jamieson Greer said further trade-talk details would follow Monday.

US-CHINA

China, US agree \$30 billion reciprocal tariff cut, new AI dialogue after Xi's Washington visit

China's foreign ministry said the Sept 23-25 Xi-Trump summit produced an eight-point consensus, including *\$30 billion* in reciprocal tariff relief on non-sensitive goods and a new bilateral AI dialogue, with the next round set for November. The two governments also agreed to establish a Board of Trade and Board of Investment and to continue counter-narcotics cooperation that has already produced dozens of arrests on both sides.

REUTERS, CITING CHINA'S FOREIGN MINISTRY

PLA

Diplomats say CMC Vice Chairman Zhang Youxia, general Liu Zhenli expelled from party, military

Diplomats and security analysts say the Politburo has expelled **Zhang Youxia**, the Central Military Commission vice chairman long seen as Xi Jinping's closest military ally, and Liu Zhenli from the Communist Party and the PLA. The purge leaves five of the CMC's seven seats vacant and follows the earlier expulsions of He Weidong and Miao Hua.

TAIPEI TIMES, CITING REGIONAL MILITARY ATTACHES AND SECURITY ANALYSTS

CROSS-STRAIT

Xi used praise, warnings and WWII history to challenge US backing for Taiwan, Japan, NYT reports

In talks with **Trump**, Xi Jinping combined flattery with warnings and invocations of wartime history to press Washington on its support for Taiwan and Japan, the New York Times reports. Trump for his part called China a WWII "ally," a characterization that drew swift pushback in Tokyo.

NEW YORK TIMES

ENERGY

China to buy 10 million metric tons of US coal annually in 2027, 2028

The White House said China committed to importing at least 10 million metric tons of US coal in each of 2027 and 2028 as part of summit trade outcomes, Bloomberg reports. The pledge is part of a broader package that includes the \$30 billion tariff-relief arrangement and new Trade and Investment councils.

BLOOMBERG

DIPLOMACY

Xi brought just 19 of 134 state-dinner guests from Beijing's delegation, AFP finds

Of 134 names on the guest list for Thursday's White House state dinner, only 19 were part of **Xi Jinping's** delegation, while US tech leaders including Apple's Tim Cook, Nvidia's Jensen Huang and AMD's Lisa Su turned out in force. SOAS China Institute director Steve Tsang said the imbalance shows "Xi and China's priority is not business or trade deals, but to make the visit a success ... in terms of optics."

AFP

• OVERNIGHT

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- DIPLOMACY** Trump's disruption to TV coverage during Xi visit frustrates Chinese officials · CNN
Trump's handling of television coverage during Xi's state visit frustrated Chinese officials, CNN reports, despite months of White House planning to impress the Chinese leader. The friction is a footnote to a visit built around ceremony rather than substantive breakthroughs.
-
- TECHNOLOGY** CNN: world may find China's AI pitch more compelling than Washington's · CNN
Rapid advances in Chinese AI have alerted Washington to the possibility Beijing could pull ahead in the global technology race, CNN reports. Many countries may find China's AI model and infrastructure offerings more commercially compelling than the US alternative.
-
- DIPLOMACY** Tibetan, Hong Kong, Xinjiang groups protest outside White House during Xi visit · DW Chinese
Protesters from Tibetan, Hong Kong and Xinjiang groups gathered near the White House chanting against Xi Jinping during the state visit, DW Chinese reports, while separate pro-Beijing demonstrators gathered outside Xi's hotel. Former House Speaker Nancy Pelosi joined a Free Tibet rally nearby.
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- CROSS-STRAIT** Taiwan, Japan push back on Xi's summit narrative; expert sees arms sale within a year · VOA Chinese
Taiwan and Japan disputed Xi Jinping's characterization of summit events, VOA Chinese reports, with an analyst predicting Washington could still implement a delayed Taiwan arms sale within a year. Eurasia Group's Dominic Chiu said the sale could face delay to preserve the trade truce.
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- DIPLOMACY** Nikkei recaps how the three-day Trump-Xi Washington summit unfolded · Nikkei Asia
Nikkei traces the Sept 23-25 visit from Xi's arrival through the state dinner and departure, noting the summit closed without breakthroughs on AI, Taiwan or trade specifics. Both sides emphasized ceremony and confirmed two further leader meetings this year.
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- INVESTMENT** Japan to digitize CFIUS-style foreign investment screening by FY2028 · Nikkei Asia
Japan will move most advance foreign-investment screening applications online as early as fiscal 2028, Nikkei reports, under a new investment-review framework. The shift aims to speed reviews of inbound investment amid rising scrutiny of Chinese capital flows.
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- DIPLOMACY** Analysts: Trump-Xi trade truce buys time but doesn't resolve rivalry · AFP
Asia Society's Daniel Russel said Washington and Beijing "remain locked in a bitter competition over trade, tech, Taiwan, defense, rare earths and industrial policy" despite the summit, AFP reports. The Asia Group's Daniel Kritenbrink said further tangible outcomes are needed for the truce to extend.
-

TARIFF · REUTERS

USTR Greer says details on US-China trade talks coming Monday

US Trade Representative **Jamieson Greer** said the two days of Trump-Xi talks produced agreement on some trade matters, with further details due Monday. His remarks follow the summit's announced \$30 billion reciprocal tariff-relief arrangement.

DIPLOMACY · REUTERS

Trump says he will meet Xi again in China in November

Donald Trump said he will travel to China in November for a second meeting with Xi Jinping this year, coinciding with the APEC Shenzhen summit. It would be Trump's first China trip since taking office for his second term.

CONGRESS · REUTERS

US lawmakers push to bar Chinese datacenter technology from sensitive government systems

Members of Congress are moving to keep Chinese-origin datacenter hardware and software out of sensitive US government systems, Reuters reports. The push follows warnings that Chinese AI models and cloud infrastructure could pose data-security risks to federal networks.

DIPLOMACY · REUTERS

Trump told Xi Chinese support for Iran 'unacceptable,' received assurances, US envoy says

David Perdue, the US ambassador to China, said Trump warned Xi during their summit that Chinese assistance to Iran was "totally unacceptable" and received assurances in response. The exchange follows reporting on Chinese entities supplying material flowing to Iran.

EXPORT CONTROLS · BLOOMBERG

F-35 parts diverted to Hong Kong shipped via UPS route that often transits China

Parts for the F-35 fighter jet were mistakenly diverted to Hong Kong via a UPS shipping route that regularly passes through China, Bloomberg reports, prompting US lawmaker scrutiny. Australia's defense minister separately confirmed the misdirection, raising concern about Chinese access to sensitive military technology.

DIPLOMACY · CNBC

Ambassador Perdue: Trump-Xi summit, AI arms race dominate US-China talks

David Perdue discussed the summit, the US-China "AI arms race" and ongoing trade relations in a CNBC interview. Perdue separately told CNBC and Fox News US Taiwan policy is unchanged, saying Washington does "not support independence, but also does not support coercion."

CROSS-STRAIT · REUTERS

Arming Taiwan an important US interest, Taipei official says after summit

A Taiwanese official said arming Taiwan remains an important US interest following the Trump-Xi summit, per Reuters. Taiwan's Vice Foreign Minister Wu Chih-chung said Taipei is not concerned about wavering US support, citing continued bilateral communication and bipartisan Congressional backing.

CROSS-STRAIT · NIKKEI ASIA

Taiwan says Xi 'distorted facts' to Trump on cross-strait issue

Taiwan's Ministry of Foreign Affairs accused Xi Jinping of "distorting reality" during his summit with Trump, Nikkei reports. Analysts are parsing the summit remarks for signals on the status of a pending Taiwan arms sale Trump had called a "good negotiating chip" after May's Beijing summit.

CROSS-STRAIT · TAIPEI TIMES

KMT chair Cheng Li-wun urges Lai to resume cross-strait dialogue

KMT Chairwoman **Cheng Li-wun** said President Lai Ching-te should seek to resume cross-strait dialogue, arguing that if Washington and Beijing can negotiate, Taipei should also prioritize communication. She cited tariffs, rare earths, AI, Taiwan and Iran as issues at stake in the summit.

CROSS-STRAIT · SCMP

Taiwan's coastguard-vessel transfer to Philippines draws double outcry

Taiwan's transfer of a retired 61-metre coastguard cutter to the Philippine Coast Guard via an NGO has triggered controversy over Taiwanese fishermen's interests and drawn criticism from Beijing's Taiwan Affairs Office, SCMP reports. The handover expands Taipei-Manila maritime cooperation absent formal diplomatic ties.

ASEAN · HKEJ

Philippines accuses China of blocking resupply to grounded ship; Beijing rebuts

The Philippines said China blocked a Sept 24 resupply mission to its grounded vessel at Second Thomas Shoal, the first such incident since 2024, per Bloomberg reporting cited by HKEJ. China Coast Guard spokesperson **Jiang Lüe** said Manila "broke its promise" and accused it of provocations during the Mid-Autumn holiday.

JAPAN · NIKKEI ASIA

Trump's China-as-WWII-'ally' remark raises eyebrows in Japan

Japan on Friday emphasized its postwar reconciliation and close US partnership after Trump described China as a WWII "ally" during the Xi summit, Nikkei reports. The remark drew scrutiny in Tokyo given friction over China's wartime-history framing of Japan.

EUROPE · TAIPEI TIMES

Brussels tells UK to raise Chinese car tariffs or align with EU policy

The EU told British PM Andy Burnham that Britain must raise tariffs on Chinese vehicles and align more closely with EU trade policy to avoid "Made in Europe" barriers, per the Financial Times. An EU official said a customs union "would solve most of the problems," including fears Chinese firms could route through Britain to dodge EU tariffs.

EUROPE · AP

Zelenskyy says he urged Trump to enlist China's help ending Russia's war

Ukrainian President Volodymyr Zelenskyy said he asked Trump to bring China into efforts to end Russia's invasion, per AP. The request comes as Trump and Xi discussed Russia among several international-security topics at their Washington summit.

China moves to fill gaps left by Trump's retreat from UN activities

China is expanding its footprint across a range of UN bodies and initiatives as the Trump administration pulls back from multilateral engagement, Bloomberg reports. The push extends Beijing's multilateral profile alongside its Global Development and Global Security Initiatives.

• STAT OF THE DAY

4.2x

Taiwan's 2026 trade surplus vs. its 2018 baseline

Taiwan's central bank projects a *\$205.4 billion* full-year surplus versus \$49.2 billion in 2018 when the US-China tariff dispute began; China ranks fourth among sources of the US's projected \$1.1 trillion deficit at \$156.4 billion, behind Vietnam, Mexico and Taiwan.

Taipei Times

MACRO · TAIPEI TIMES

Taiwan's central bank forecasts \$205.4 billion 2026 trade surplus on AI hardware boom

Taiwan's central bank projects a full-year trade surplus of \$205.4 billion, driven by its emergence as a global AI hardware manufacturing hub. Taiwan is forecast to be the third-largest source of the US trade deficit at \$219.2 billion, behind Vietnam and Mexico.

AUTO / TOYOTA · NIKKEI ASIA

Toyota's China-sourced EV parts leave Japanese suppliers out in the cold

Toyota is quietly shifting toward Chinese parts makers for a luxury EV SUV it plans to build in China from 2027, Nikkei reports, sidelining longtime Japanese suppliers.

MANUFACTURING · NIKKEI ASIA

Japanese chemical suppliers alarmed by surge in Chinese imports tied to US-Iran war

Soaring Japanese imports of Chinese plastic and chemical materials, driven by disruption from the US-Iran war, have alarmed Japanese suppliers, Nikkei reports.

ENERGY · AP

China's overseas coal-funding freeze holds, but loopholes let coal projects expand

China has kept its pledge to halt new overseas coal-plant financing, but loopholes are enabling continued coal expansion abroad, AP reports, even as Beijing separately agreed to buy US coal.

ENERGY · REUTERS

Chinese and US firms compete for Peru copper projects as red tape falls

Chinese and US companies are lining up for copper projects in Peru after the government streamlined permitting, Reuters reports, as both countries seek copper supply security.

TECH · CNBC

Chinese AI models see surging global adoption, worrying Washington

Business use of Chinese AI models has increased substantially worldwide in 2026, CNBC reports, adding urgency to debates over export controls and US market share.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SATURDAY, SEPTEMBER 26, 2026

商务部 · MINISTRY OF COMMERCE / STATE COUNCIL · *Joint government statement (Xinhua-distributed)*

China and US establish Board of Trade, Board of Investment after summit

Statement lists eight agreed outcomes from Xi's Sept 23-25 US visit, including a \$30 billion reciprocal tariff-relief arrangement, extension of Kuala Lumpur trade-talk outcomes, and mutual support for hosting APEC and G20 summits.

→ MOFCOM ZH ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *Monetary Policy Committee*

Q3 policy committee meeting shifts language on stimulus tools

Communique drops "cross-cyclical" language in favor of "counter-cyclical adjustment," adds pledges to "comprehensively use and timely adjust" tools and reform the policy framework, and for the first time lists "six networks" construction as a priority support area; overnight reverse repo cap raised from 600 billion to 1 trillion yuan for Sept 28-Oct 8.

→ PBOC ZH (via QQ News) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC enforcement notice*

Bohai Bank fined *5.34 million yuan* for multiple violations

PBOC fined Bohai Bank 5.34 million yuan and confiscated 85,100 yuan in illegal gains for violations of financial-statistics, bank settlement-account, and collection-business management rules.

→ PBOC ZH ↗

商务部 · MINISTRY OF COMMERCE · *MOFCOM notice*

MOFCOM publicizes enterprise list for 2026 sugar import quota reallocation

Notice discloses the proposed list of enterprises for reallocation of 2026 sugar import tariff-rate quotas.

→ MOFCOM ZH ↗

国务院 · STATE COUNCIL · *State Council General Office (forwarding 10-department notice)*

10 departments issue measures to promote RV consumption

Measures cover nine policy areas including RV registration and scrappage rules, road access and parking, campground construction, rental services and financial support for the RV sector.

→ Global Times ZH (via 环球网) ↗

PERSONNEL CHANGES

Zhang Youxia **EXPELLED**
CMC Vice Chairman

Zhang Youxia, previously Xi Jinping's closest military ally and son of a close friend of Xi's father, was expelled from the Communist Party and the PLA this week alongside Liu Zhenli, per diplomats and security analysts cited by Taipei Times; the Central Military Commission now has five of seven seats vacant.

Liu Zhenli **EXPULSED**

PLA senior officer

Liu Zhenli was expelled from the party and military in the same move, part of what Singapore-based security scholar James Char described as the continued "defenestration" of protégés of Zhang Youxia and Miao Hua.

• **WHAT BEIJING IS SAYING**

国务院 · STATE COUNCIL · EIGHT-POINT CONSENSUS FROM XI'S US STATE VISIT

CONCILIATORY · TO US

Joint statement (Xinhua-distributed) '· Government statement following Xi's US state visit

“The two sides agreed to establish a China-US artificial intelligence dialogue to exchange views on AI-related risks and benefits. The next dialogue will be held this November. The two sides agreed to establish a communication channel for AI incidents.”

双方同意建立中美人工智能对话，交流人工智能相关风险和惠益。下次对话将于今年11月举行。双方同意建立人工智能事件的沟通渠道。

Statement followed Xi Jinping's Sept 23-25 state visit to Washington and listed eight agreed outcomes including a Board of Trade, \$30 billion in reciprocal tariff cuts, and this AI dialogue.

MOFA / MND / MOFCOM ZH

中国人民银行 · PBOC · FX MARKET MANAGEMENT AND MONETARY POLICY STANCE **ROUTINE · TO DOMESTIC**

Monetary Policy Committee '· PBOC Q3 2026 Monetary Policy Committee meeting

“Guard against the foreign exchange market's 'herd effect' and the self-reinforcing amplification of irrational expectations.”

防范外汇市场‘羊群效应’和非理性预期自我强化

New language appeared in the PBOC's Q3 2026 Monetary Policy Committee communique, published Sept 24, alongside a shift from 'counter-cyclical and cross-cyclical adjustment' to 'counter-cyclical adjustment' alone.

Caixin / PBOC ZH

外交部 · MOFA · US-IRAN CONFLICT

ROUTINE · TO OTHER

MOFA spokesperson '· MOFA daily press briefing

“The protraction of the US-Iran conflict does not serve the common interests of the parties concerned or the international community.”

美伊战事延宕不符合当事方和国际社会共同利益

Comment came in response to a question about the Iranian president's UN General Assembly address amid continued Strait of Hormuz tensions.

MOFA presser ZH (via Eastmoney)

● WHAT OTHERS ARE SAYING

ZAOBAO / CNBC-FOX NEWS · SEPT 25, 2026

David Perdue · US Ambassador to China

“We do not support independence, but we also do not support coercion.”

Statement follows Xi's remarks urging the US to "oppose Taiwan independence" during the Sept 24 White House meeting.

source

DW CHINESE · SEPT 26, 2026

Aurelio Insisa · Senior Analyst, MERICS (Mercator Institute for China Studies)

“Trump's personalized diplomacy is a one-sided construct, one that exists primarily in his own imagination. He may believe that his personal rapport with Xi Jinping is the key factor shaping U.S.-China relations, but there is little evidence to support this claim.”

MERICS assessment was published as the summit closed without agreements on AI governance, trade specifics or export controls.

source

DW CHINESE · SEPT 26, 2026

Dominic Chiu · Senior Analyst for China and Northeast Asia, Eurasia Group

“The Taiwan arms sale case may face delay.”

Trump had called the pending \$14 billion Taiwan arms sale a "good negotiating chip" after the May 2026 Beijing summit.

source

DIPLOMACY

WASHINGTON POST

Trump treats Xi as diplomatic equal, testing a new personal approach

Trump treated Xi as a diplomatic equal throughout the summit, testing a new personalized approach to managing US-China tensions, WaPo reports.

AP

AP takeaways: pageantry and pandas, but no breakthroughs

AP's summit takeaways: heavy pageantry and panda diplomacy, but no breakthroughs on trade, AI or Taiwan.

BLOOMBERG

Xi seizes Trump detente for lasting gains on trade, Taiwan

Bloomberg: Xi used the Trump detente to pursue durable gains on trade and Taiwan rather than one-off concessions.

NEW YORK TIMES

Flyovers, pandas masked deep US-China divides

NYT: flyovers and panda diplomacy masked deep divides between Washington and Beijing on trade, AI and Taiwan.

THE ECONOMIST

Economist: pageantry as crises mount

The Economist says the Trump-Xi summit indulged in pageantry even as trade, tech and Taiwan crises mount.

NEW YORK TIMES

Xi says China will send two pandas to Zoo Atlanta

Xi said China will send two pandas to Zoo Atlanta, reviving a panda-diplomacy tradition, per NYT.

WSJ

WSJ: panda diplomacy losing its clout with the US

WSJ says China's panda diplomacy is losing its political clout in Washington despite the new Atlanta pledge.

TECHNOLOGY

NEW YORK TIMES

AI moguls dine with Xi and Trump as president goes off script

Musk, Altman, Huang, Bezos, Cook and Zuckerberg dined with Xi and Trump at the White House state dinner, NYT reports.

● UPCOMING

OCT
1

PRC National Day, 77th anniversary

Beijing marks the 77th anniversary of the PRC's Oct 1 1949 founding amid an extended Mid-Autumn/National Day holiday period.

NOV
3

US midterm elections

China policy positioning by both parties will sharpen ahead of the vote; Trump's summit optics with Xi have drawn Democratic criticism over inconsistent messaging.

NOV
10

Busan-deal one-year suspensions approach lapse

The BIS Affiliates ("50%") Rule suspension and China's Oct 2025 rare-earth export-control suspension are due to lapse around this date unless extended.

NOV
18

APEC Economic Leaders' Meeting opens, Shenzhen

Trump said he will travel to China for a second Xi meeting this year at APEC; the next round of the bilateral AI dialogue is due before this month.

NOV
28

Taiwan nine-in-one local elections

22 mayoral and magistrate races serve as a mid-term referendum on President Lai Ching-te's cross-strait posture.

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